

Set A. Model Answer Scheme — Macroeconomics CSQ Practice

How to use this scheme. Each answer is written in the form of an A-grade student script, with the mark-scheme allocation shown in square brackets as a guide. Examiner notes at the end of each answer highlight common pitfalls and the precise phrase or technique that earns the band. Diagrams are reproduced where the question demands one; you should be able to redraw each diagram blind in under 4 minutes.

Section CS1. Singapore — Growth Deceleration and the MAS Policy Mix

Question 1

[2 marks]

Trend in MAS Core Inflation versus Headline CPI Inflation, 2020–2024. Both indicators rose from negative or near-zero levels in 2020 to peaks in 2022–2023 and then moderated by 2024.

[1 mark for direction.]

However, Headline CPI was *more volatile* and peaked higher: it rose from -0.2% (2020) to 6.1% (2022) before falling to 2.4% (2024), whereas Core Inflation rose from -0.2% to 4.2% (2023) before easing to 2.8% (2024). The two indicators converged in 2024.

[1 mark for comparative depth.]

Examiner Note. The 2-mark “compare” command word requires *both* similarity and difference, anchored to specific year values. Stating only “both rose then fell” caps at 1 mark.

Question 2

[2 marks]

Potential output is the maximum sustainable level of real GDP an economy can produce when all factors of production are fully employed at their normal rates of utilisation, without generating accelerating inflation.

[1 mark for definition.]

Evidence: Extract 1.1 states that “productivity growth... had collapsed to near zero” from a pre-pandemic average of 2.3% per annum, which would directly reduce the rate at which Singapore’s potential output grows.

[1 mark for evidence anchored to extract.]

Examiner Note. Do not confuse potential output (a level) with potential growth (a rate). Either is acceptable here, but the evidence must explicitly link to factor productivity, the labour force, or capital stock — not to actual output figures.

Question 3

[4 marks]

Why MAS uses Core Inflation as the primary indicator. MAS Core Inflation excludes the prices of accommodation and private transport, both of which are highly volatile and dominated by administrative or one-off determinants (such as COE premiums and HDB rental cycles) rather than by underlying demand pressure.

[1 mark for definition.]

As a result, Core Inflation more accurately reflects the *underlying trend* in domestic demand

and imported cost pressure, which are the components of inflation that monetary policy can influence. In Table 1.1, the gap between Headline (6.1%) and Core (4.1%) inflation in 2022 was 2 percentage points, indicating that a substantial share of headline inflation was driven by these excluded volatile categories. *[1 mark for application to data.]*

Second, headline inflation in 2024 was further inflated by the GST hike from 8% to 9% in January 2024, a one-off level effect that does not reflect sustained inflationary pressure. Targeting headline would lead MAS to over-tighten in response to a transitory shock, raising the risk of policy error. *[1 mark for second reason.]*

Therefore, by focusing on Core Inflation, MAS aligns its policy response with the persistent component of price changes, supporting more stable monetary policy and credible expectations management. *[1 mark for link to policy effectiveness.]*

Examiner Note. Strong 4-mark answers always state *two distinct* reasons. Naming volatile categories (1) and the GST one-off (2) is what separates this from a 2-mark answer.

Question 4

[4 marks]

Why high trade openness makes the exchange rate effective and fiscal policy weak.

Exchange-rate effectiveness. Imports account for roughly two-thirds of Singapore's CPI basket (Extract 1.1). A stronger S\$ lowers the domestic-currency price of imported consumer goods and intermediate inputs directly, with a high pass-through coefficient of approximately 0.4 to headline CPI. The exchange rate therefore provides a powerful and rapid transmission channel for managing imported cost-push inflation. *[2 marks: definition + mechanism + magnitude.]*

Fiscal-policy weakness. With trade-to-GDP exceeding 300%, each round of fiscal injection leaks heavily into imports because the marginal propensity to import is very high. The fiscal multiplier $k = 1/(MPS + MPT + MPM)$ is therefore unusually small, estimated at 0.5–0.7 in Singapore versus 1.5–2.0 in larger, more closed economies. A given increase in government spending translates into a proportionally smaller change in equilibrium national income, limiting fiscal policy's effectiveness as a counter-cyclical tool. *[2 marks: leakage mechanism + multiplier reference.]*

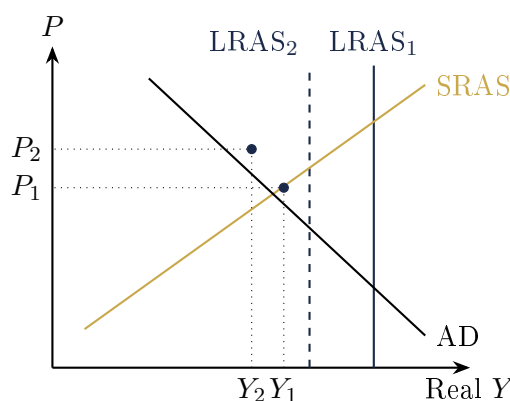
Examiner Note. The most common error is not connecting the mechanism to the magnitude. Quoting an actual multiplier range and tying it to import leakage shows AO2 application.

Question 5

[6 marks]

Productivity slowdown, potential output, and underlying inflation.

A persistent fall in productivity growth means that, for any given level of labour and capital input, the real output that the economy can sustainably produce grows more slowly. This reduces the rate of rightward shift in the long-run aggregate supply (LRAS) curve, which represents the economy's full-employment level of output. *[1 mark for definition of LRAS shift.]*



In the diagram, the slower productivity growth shifts LRAS leftward from $LRAS_1$ to $LRAS_2$ relative to the trend path (alternatively, $LRAS_2$ shifts right less than would have occurred at the pre-pandemic productivity rate). With AD continuing to grow at its prior pace, the new long-run equilibrium occurs at a lower level of real output, $Y_2 < Y_1$. [2 marks for diagram fully labelled with axes, curves, and shifted equilibrium.]

Because aggregate demand is unchanged, the same level of nominal demand now chases a smaller real output. The equilibrium price level rises from P_1 to P_2 , generating higher underlying inflation. [1 mark for price-level conclusion.]

The implication for Singapore (Extract 1.1) is that MAS may need to permit a steeper appreciation path of the S\$NEER to offset this productivity-driven inflationary pressure — a structural rather than cyclical adjustment. [1 mark for policy linkage.]

In addition, lower potential output reduces real income per capita, lowering long-run living standards, even if employment remains high. [1 mark for welfare implication.]

Examiner Note. For full marks the diagram must show LRAS shifting, not just SRAS. A common error is to draw an SRAS-only shift (transitory cost shock) when the question specifies *persistent* productivity slowdown.

Question 6

[6 marks]

Why MAS paused rather than eased in 2024.

First, although MAS Core Inflation had moderated to 2.8% by 2024 (Table 1.1), this remains above MAS's medium-term comfort range of around 2%. Reversing the appreciating stance prematurely would risk re-anchoring inflation expectations at a higher level, undoing the credibility gains from the 2022–2023 tightening cycle. [2 marks: data anchor + expectations.]

Second, headline inflation in 2024 was buoyed by the GST hike (Extract 1.1), and the residual imported inflation channel remains active. MAS chose to maintain the current appreciating slope to allow the moderating effect of past tightening to continue feeding through to import prices, rather than reverse course while these effects are still in train. [2 marks: imported inflation channel + lag argument.]

Third, easing the policy band would weaken the S\$NEER and immediately raise the domestic price of the basket of imports that constitute two-thirds of CPI. Given that Singapore's productivity growth is reported to have "collapsed" (Extract 1.1), the economy's supply-side cushion against a fresh imported price shock has narrowed — prudent risk management favours holding rather than easing. [1 mark for productivity-risk linkage.]

Finally, the projected growth rate of 1–3% for 2024 is positive though below trend, which does not constitute a deep enough output gap to justify monetary stimulus. *[1 mark for growth-output-gap consideration.]*

Examiner Note. The strongest 6-mark policy answer combines: (i) where inflation actually sits relative to target, (ii) credibility, (iii) policy lag, and (iv) output-gap context. Listing only “inflation still above target” caps at 3 marks.

Section CS2. United States and China — Trade Tensions and Supply-Chain Realignment

Question 1

[2 marks]

Percentage change in US imports from China, 2018–2023.

$$\frac{427 - 540}{540} \times 100\% = -20.9\%$$

[1 mark for working, 1 mark for correct answer with sign and unit.] US imports from China fell by approximately 20.9% (or 21%) between 2018 and 2023.

Examiner Note. Always state the direction explicitly (“fell”) and round sensibly. Marking is unforgiving on missing percentage signs or negative signs.

Question 2

[2 marks]

Decoupling versus re-routing. *Decoupling* refers to a genuine reduction in the economic interdependence between two countries, in which one country no longer relies on the other’s inputs, capital, or markets. *[1 mark.]*

Re-routing refers to the redirection of trade flows through third-country intermediaries (e.g. Vietnam, Mexico) while the underlying production and inputs continue to originate in the original country, so that economic interdependence is preserved but disguised in the headline bilateral statistics. *[1 mark.]*

Examiner Note. The distinction must be *economic interdependence*, not just trade-volume direction. Many candidates mention the volume change but miss the value-added insight from Extract 2.1.

Question 3

[4 marks]

Why tariff burden fell on US consumers, not Chinese producers.

Extract 2.1 cites a study finding that nearly 100% of the Section 301 tariffs were passed through to US import prices, implying that US importers and ultimately consumers absorbed the tariff rather than Chinese exporters cutting prices to retain market share. *[1 mark for evidence.]*

This pattern arises when US demand for the affected Chinese goods is *price-inelastic* in the short run, because of limited substitutability of Chinese production (e.g. electronics, consumer goods where China dominates the global supply base) and high search costs for alternative suppliers.

With inelastic demand, US importers can pass on the tariff without losing significant volume, while Chinese producers, facing many competing destination markets, have little reason to cut their export prices. *[2 marks for elasticity-based mechanism.]*

The aggregate impact reported in Extract 2.1 (US\$1.4 billion per month in consumer costs, regressively distributed) confirms the mechanism: tariff incidence on the consumer side reduces consumer surplus by more than the gain to Chinese exporters, generating a deadweight loss. *[1 mark for welfare conclusion linked to data.]*

Examiner Note. Strong answers anchor the elasticity claim to the empirical pass-through figure. Saying “demand is inelastic” without explaining *why* (substitution, search costs) earns only 2 marks.

Question 4

[4 marks]

Trade diversion: US imports from Vietnam and Mexico.

Trade diversion occurs when a tariff or trade policy shifts a country’s import sources from a lower-cost producer to a higher-cost producer, raising welfare costs even though bilateral trade with the targeted country falls. *[1 mark for definition.]*

Table 2.1 shows that US imports from Vietnam rose from US\$49 billion (2018) to US\$114 billion (2023), more than doubling, and imports from Mexico rose from US\$346 billion to US\$476 billion over the same period. The tariff on Chinese imports made Vietnamese and Mexican exports relatively cheaper for US importers *not because their production costs are lower than China’s, but because they face a lower tariff.* *[2 marks for data + diversion mechanism.]*

The Federal Reserve Bank of New York’s finding (Extract 2.1) that up to 40% of the value added in Vietnamese and Mexican exports to the US still originates in China reinforces this interpretation: Vietnam and Mexico are functioning as tariff-jurisdiction substitutes rather than as lower-cost producers, the textbook signature of trade diversion. *[1 mark for higher-order application.]*

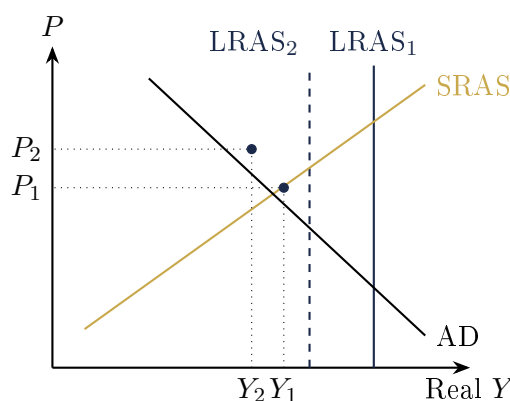
Examiner Note. Trade diversion is a subtle concept — the key word is “higher-cost” producer being favoured by policy. Saying “trade shifted” alone misses the welfare-cost insight that defines the term.

Question 5

[6 marks]

Collapse in FDI and China’s long-run growth.

FDI inflows raise an economy’s capital stock by financing new plant, equipment, and infrastructure, and transfer technology, management practices, and skills from foreign multinationals to domestic firms (technology spillovers). Together these channels raise the productive capacity of the economy and shift the LRAS curve rightward. *[1 mark for mechanism.]*



With FDI inflows collapsing from US\$189 billion (2022) to US\$33 billion (2023) — a fall of approximately 83% (Table 2.1) — the rate of capital accumulation falls sharply. The expected rightward shift of LRAS does not occur, or occurs more slowly than the underlying trend. In the diagram, the leftward shift of LRAS (relative to trend) from $LRAS_1$ to $LRAS_2$ shows that China's potential output growth slows. [2 marks for diagram fully labelled with shifted LRAS.]

The equilibrium real GDP falls from Y_1 to Y_2 and the price level rises from P_1 to P_2 , generating slower growth and underlying inflationary pressure simultaneously. [1 mark for equilibrium changes.]

Beyond the capital-stock channel, technology spillovers will also be diminished: domestic Chinese firms lose access to the management practices, R&D collaboration, and integration into global value chains that foreign multinationals would have provided. Long-run total factor productivity growth therefore also slows, magnifying the LRAS contraction beyond the direct capital effect. [1 mark for TFP channel.]

For China's policy response, this implies that maintaining the trend growth rate will require either greater domestic R&D investment to substitute for foreign technology transfer, or measures to restore foreign-investor confidence. [1 mark for policy implication.]

Examiner Note. A common error is to draw an AD-side diagram for an FDI question. FDI primarily affects supply-side capacity (LRAS), not aggregate demand. Mentioning the technology-spillover channel is what lifts a 4-mark answer to 6.

Question 6

[6 marks]

Two reasons why CHIPS Act subsidies may fail to fully re-shore semiconductor production.

Reason 1: Persistent cost disadvantage. Semiconductor fabrication is one of the most capital- and skill-intensive industries in the world. Costs in US locations are estimated to be 30–50% higher than in Taiwan or South Korea, reflecting higher wages, stricter environmental regulation, and lower density of supplier networks. The US\$52 billion CHIPS Act subsidy reduces but does not eliminate this gap, especially for trailing-edge production where margins are thin. Without ongoing operating subsidies, fabs may remain unprofitable once initial capital grants are exhausted. [3 marks: cost mechanism + subsidy comparison + sustainability.]

Reason 2: Skilled labour shortage. The US faces a structural shortage of trained semiconductor engineers and technicians, estimated by the Semiconductor Industry Association at over 67,000 by 2030. TSMC's flagship Arizona fab has already announced a one-year delay attributed to workforce shortages. Subsidies for physical plant cannot quickly create the deep labour pool,

university research base, and supplier ecosystem that took decades to develop in Taiwan. As Extract 2.1 notes, “re-routing” rather than “decoupling” is what is actually occurring: high-value intermediate inputs remain in Asia. *[3 marks: structural labour gap + ecosystem critique + extract anchor.]*

Examiner Note. The strongest 6-mark policy-failure answers always identify *two distinct categories* (here: cost economics + labour supply). Listing two cost-only reasons would cap at 4 marks regardless of detail.

Section CS3. Japan — Exit from Deflation and BOJ Policy Normalisation

Question 1

[2 marks]

Trend in Japan’s core CPI inflation, 2019–2024. Core CPI inflation rose from 0.6% in 2019, fell into deflationary territory at –0.2% in 2020 and 2021, then surged to a peak of 3.1% in 2023 before moderating to 2.5% in 2024. *[1 mark for direction + 1 mark for naming the inflection point/peak.]*

Examiner Note. The 2-mark “describe” command word rewards specific year-value anchoring, not just “it went up”. Naming the deflation period and the peak earns the second mark.

Question 2

[2 marks]

Yield-curve control (YCC). YCC is a monetary policy framework in which a central bank commits to buying or selling unlimited quantities of government bonds at specified maturities to keep their yields at or below a chosen target level. *[1 mark for definition.]* In Japan’s case, the BOJ targeted the 10-year JGB yield, with the cap progressively raised from 0.25% (2020–21) to 1.00% (2023) before abolition in March 2024 (Extract 3.1, Table 3.1). *[1 mark for application.]*

Examiner Note. A pure textbook definition without application earns 1 mark. The application requires naming the maturity (10-year) and the trajectory of the cap.

Question 3

[4 marks]

Why the Shunto wage settlements were a critical signal.

The 2023 (3.58%) and 2024 (5.28%) Shunto settlements were the largest in over three decades and substantially exceeded the BOJ’s 2% inflation target. These nominal wage increases are critical because, for the BOJ, the 2% inflation target is only “sustainably achieved” if it is supported by wage growth rather than imported costs alone. *[2 marks for wage–inflation link.]*

Specifically, sustained wage increases of 3–5% will (i) raise households’ nominal disposable income and consumption, supporting aggregate demand, and (ii) translate into higher unit labour costs for firms, which feed into service-sector and domestically generated price inflation. This second channel, often called the “wage-price virtuous cycle” (Extract 3.1), is what distinguishes a one-off cost-push shock from a self-sustaining return to positive inflation. *[2 marks for mechanism + naming the cycle.]*

Examiner Note. The defining move is recognising that pre-2023 inflation was *imported and transitory*, while post-2023 inflation is *wage-driven and sustainable*. Without this distinction, the answer caps at 2 marks.

Question 4

[4 marks]

Yen depreciation and Japanese inflation.

A depreciation of the yen from 109 to 158 per US dollar represents a fall in the yen's value of approximately 31%. This raises the yen-denominated price of all imports, including energy, food, and intermediate manufactured inputs. *[1 mark for direction + magnitude.]*

Because Japan imports nearly all its oil, gas, and a significant share of food, the increase in import prices feeds directly into both the consumer price index (through retail energy and food prices) and producer prices (through firms' input costs). *[1 mark for transmission channels.]*

In AD/AS terms, the depreciation operates as a cost-push shock: it shifts SRAS leftward, raising the equilibrium price level. It also raises the yen value of export revenues, modestly supporting AD, but the dominant effect on core inflation is the import-cost channel. *[1 mark for AS/AD framing.]*

This explains why the BOJ has been concerned that excessive yen weakness could re-trigger the imported component of inflation just as the wage-led component begins to deliver sustainable price increases, complicating policy normalisation. *[1 mark for policy implication, anchored to Extract.]*

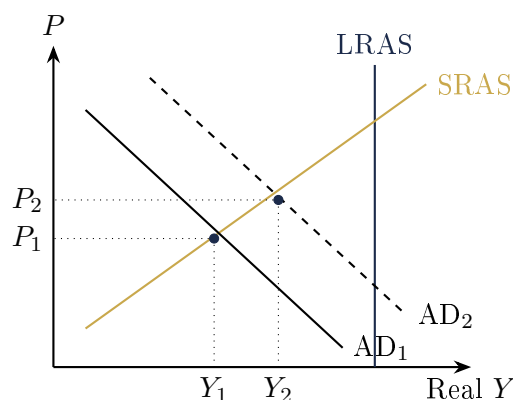
Examiner Note. Strong answers connect FX depreciation to *both* consumer and producer price channels, and explicitly link the magnitude (31%) to its consequence. Stating only "imports become more expensive" earns 2 marks.

Question 5

[6 marks]

Wage-price virtuous cycle and escape from deflation.

A sustained wage-price virtuous cycle involves successive rounds in which (i) workers receive nominal wage increases, (ii) firms pass higher unit labour costs onto consumer prices, and (iii) the resulting higher prices justify further wage increases in subsequent bargaining rounds. *[1 mark for cycle definition.]*



In the diagram, higher nominal wages raise household consumption, shifting AD from AD_1 to

AD₂. The economy moves along the upward-sloping SRAS, raising real output from Y_1 to Y_2 and the price level from P_1 to P_2 . [2 marks for fully labelled diagram showing AD shift.]

As inflation expectations rise from the entrenched zero-or-negative level toward 2%, households and firms adjust their behaviour: households accelerate spending rather than deferring it (reversing the deflationary mindset), and firms invest in capacity rather than hoard cash. This raises the equilibrium nominal interest rate, lifting it from the zero lower bound and restoring conventional monetary policy as an operational tool. [1 mark for expectations channel + ZLB exit.]

Sustained wage growth also raises real wages, supporting consumption-led growth without requiring continued unconventional BOJ support. In Table 3.1, this is consistent with the BOJ's decision to end negative rates and abolish YCC in March 2024 only after two consecutive Shunto rounds exceeded the 2% target. [1 mark for policy linkage.]

The escape is, however, conditional: if real wages turn negative again or commodity prices fall sharply (Extract 3.1), the cycle could collapse and deflation could re-emerge. [1 mark for conditionality.]

Examiner Note. The deflation-trap question rewards explicit mention of the zero lower bound and inflation expectations. Without these, the answer is descriptive rather than analytical.

Question 6

[6 marks]

High debt and BOJ policy constraint.

Reason 1: Debt-service cost amplification. Japan's gross government debt is approximately 260% of GDP (Extract 3.1). The Ministry of Finance estimates that a 1-percentage-point rise in average JGB yields would increase annual debt-service expenditure by approximately 3 trillion yen — equivalent to roughly one-third of total defence spending. The BOJ therefore cannot raise rates aggressively without forcing the government to either run wider deficits (worsening the debt trajectory) or implement contractionary fiscal cuts that would undermine the demand-side of the inflation it is trying to anchor. The BOJ is constrained to a gradual normalisation path. [3 marks: data anchor + fiscal mechanism + policy implication.]

Reason 2: BOJ's own balance-sheet exposure. The BOJ holds over 50% of outstanding JGBs as a result of years of yield-curve control and QE. Rising yields cause mark-to-market losses on the BOJ's bond portfolio, which, while not creating an immediate solvency problem (the BOJ does not mark to market its JGBs), exposes the central bank to political and credibility risk if losses appear in headline financial statements. This further encourages a cautious tightening pace and supports the BOJ's contingent language in Extract 3.1 ("we may revert to easing"). [3 marks: BOJ balance sheet + credibility risk + extract anchor.]

Examiner Note. Top scoring answers always cite the 260% debt-to-GDP figure with its source (Extract 3.1) and translate the abstract debt-service mechanism into a concrete fiscal magnitude (3 trillion yen / one-third of defence spending).

Section CS4. Germany — Energy Shock, Debt Brake, and Industrial Recession

Question 1

[2 marks]

Natural gas import volume, 2021–2023. Germany’s natural gas import volume fell sharply, from 1503 TWh in 2021 to 920 TWh in 2022 and 793 TWh in 2023, a cumulative reduction of approximately 47%. *[1 mark for direction, 1 mark for magnitude/percentage calculation.]*

Examiner Note. The expected response combines direction, exact end-points, and a percentage. Failing to quantify caps at 1 mark.

Question 2

[2 marks]

Potential growth rate. The potential growth rate is the maximum rate at which real GDP can grow over the long run without generating accelerating inflation, determined by the growth of the labour force, capital stock, and total factor productivity. *[1 mark.]*

Evidence: Extract 4.1 states that the Bundesbank “revised their estimate of Germany’s medium-term potential growth rate down from 1.2 per cent to 0.7 per cent.” *[1 mark for evidence.]*

Question 3

[4 marks]

Producer price inflation to CPI transmission.

Producer price inflation (PPI) measures the change in prices received by domestic producers for their output, including intermediate inputs and energy. When PPI surges, as it did from 1.1% (2019) to 32.9% (2022) (Table 4.1), firms face dramatically higher input costs. *[1 mark for definition + data.]*

Profit-maximising firms pass these higher input costs onto final consumer prices to preserve margins. The pass-through is incomplete in the short run, because firms absorb some cost via reduced margins and consumers may switch to substitutes, but Extract 4.1 documents that energy-intensive sectors (chemicals, steel) had limited substitution capacity, allowing strong pass-through. *[2 marks for pass-through mechanism.]*

The result is that CPI inflation rose from 1.4% (2019) to 8.7% (2022), a 7.3-percentage-point increase, although smaller in magnitude than the PPI surge because not all producer costs feed directly into the consumer basket. *[1 mark for explicit data linkage.]*

Examiner Note. The relationship is *not* one-to-one. Recognising that pass-through is partial and explaining why (absorbing margins, substitution) is what earns the third and fourth marks.

Question 4

[4 marks]

Production relocation and long-run AS.

When firms such as BASF permanently close European production capacity and shift growth investment to North America, Germany’s domestic capital stock and productive capacity fall in absolute terms. This is not a temporary disruption to SRAS but a structural reduction in the country’s long-run capacity to produce energy-intensive goods. *[2 marks: capital-stock mechanism.]*

In AD/AS terms, the LRAS curve shifts leftward (or, equivalently, grows more slowly than trend). At a given price level, the maximum sustainable level of real output is now lower. This

raises the equilibrium price level and lowers the equilibrium real output in the new long-run steady state. *[2 marks: LRAS shift + dual price/output implication.]*

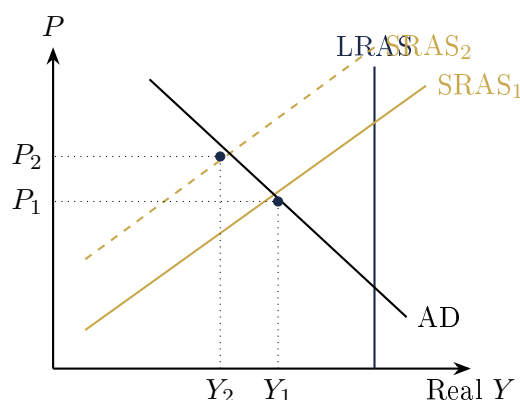
Examiner Note. The key distinction is permanent (LRAS) vs temporary (SRAS). Relocation is permanent — candidates who draw SRAS shifts here lose half the marks.

Question 5

[6 marks]

Simultaneous output contraction and continued inflation in Germany 2023.

The 2022–2023 German economy faced two simultaneous shocks. First, the energy cost shock raised production costs across all sectors, shifting SRAS leftward. Second, weakening export demand from China and the eurozone reduced AD. *[1 mark for two-shock framing.]*



In the diagram, SRAS shifts from $SRAS_1$ to $SRAS_2$ (cost-push from energy prices). This alone would raise the price level from P_1 to P_2 and lower output from Y_1 to Y_2 . *[2 marks for diagram fully labelled.]*

Compounding this, weaker external demand (reflected in industrial production contracting for four consecutive quarters — Extract 4.1) shifts AD leftward as well (this can be superimposed mentally). The leftward AD shift reinforces the output contraction $Y_1 \rightarrow Y_2$ but partially offsets the price-level rise. The *net* result observed in 2023 was real GDP contracting by -0.3% (Table 4.1) with CPI inflation moderating to 6.0% but still elevated — precisely the configuration the diagram predicts. *[2 marks for combined-shock analysis with data anchor.]*

This combination of falling output with continued positive inflation is the textbook definition of stagflation, made particularly severe in Germany's case because the energy shock simultaneously reduced LRAS through firm relocations (see Q4). *[1 mark for naming stagflation + LRAS link.]*

Examiner Note. A common error is drawing only one shock. The 2023 outcome was the *combination* of cost-push and demand-side weakness — both must be acknowledged for full marks.

Question 6

[6 marks]

Debt-brake constraint and Germany's recession vulnerability.

Reason 1: Constrained counter-cyclical fiscal response. The debt brake caps the federal structural deficit at 0.35% of GDP, well below the 3% Maastricht ceiling and orders of magnitude below the deficits used by the US ($5\text{--}7\%$) or Japan during recessions. When recession hits, Germany cannot easily run the large counter-cyclical fiscal expansion that other economies deploy. The 2023

Constitutional Court ruling, which invalidated the redirection of 60 billion euros in emergency-classified borrowing, illustrated the rigidity in practice and forced the cabinet to delay green-industrial subsidies just when the energy-cost shock made them most needed (Extract 4.1). *[3 marks: constitutional mechanism + court ruling + counter-cyclical comparison.]*

Reason 2: Inability to fund structural transformation. Germany's recovery from the energy shock requires substantial public investment in alternative energy infrastructure, grid upgrades, and industrial transformation subsidies. The debt brake forces these investments to compete with existing budget items, slowing the pace at which Germany can build energy-cost competitiveness. While other economies use one-off borrowing to finance transformation, Germany must raise taxes or cut other spending — both contractionary in the short run, worsening the recession the borrowing was supposed to mitigate. *[3 marks: investment financing constraint + crowding-out within budget + macroeconomic feedback.]*

Examiner Note. The strongest answers integrate constitutional law (the debt brake), an actual policy event (the court ruling), and the macroeconomic mechanism. Listing only “debt limit reduces spending” caps at 2 marks.

End of Set A Model Answer Scheme